WARRANTY ATLAS · Florida (FL)

Law last amended: 2009 (eff. 2009-05-28) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-12

Cites: Fla. Stat. § 320.696; Fla. Stat. § 320.64(25) (audits, denials, chargebacks); Fla. Stat. §§ 320.64, 320.695, 320.697, 320.699

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 320.696(4)(b) (flush text)
Mfr-backed service contract	**Conditional**	Factory time (reasonable/adequate standard where stated)	§ 320.696(1)(a)
CPO warranty	**Conditional**	Factory time (reasonable/adequate standard where stated)	§ 320.696(1)(a)
Independent service contract	**Not reached**	-	§ 320.696(1)(a)

Hourly rate: Agreed hourly rate. If there is no agreement within 30 days of the dealer's written request, the dealer chooses the greater of (1) retail customer labor rate = total retail labor sales ÷ hours for the preceding month, or (2) a gross-profit-percentage method using the mean technician wage. The rate is applied uniformly and can never be below the rate paid on Jan. 2, 2008. Requests ≤ semiannually; increases retroactive to claims filed 15 days after receipt of the request.

Audit fields

Field	Rule	Pinpoint
Claim decision	Silent; late claim deemed approved: no rule in statute. A claim may be denied, or charged back, only for the portion shown false or fraudulent or not substantially compliant with the licensee's reasonable written, uniformly applied procedures (§ 320.64(25)). No denial, reduction or chargeback because the dealer fa…	§ 320.696(1)(c); see (2) and § 320.64(25)
Payment	30 days after submission. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: None. After 12 months, payments are 'final and incontrovertible for a…. No more than one audit per calendar year (§ 320.696(2)). Only the portion proven false or fraudulent, or substantially noncompliant, may be charged back. Within 30 days after the audit, the licensee must meet with the dealer (in person, phone or video) and gi…	§ 320.64(25); see § 320.696(2)
Rate resubmission	written requests for changes not more than semiannually. Sample: All qualifying ROs, prior calendar month. Excluded: Internal, Prep / reconditioning, Fleet, Insurance-paid, Service-contract paid, Government, Discounted / promotional, Warranty / recall, Other (see text).	§ 320.696(4)(b)1.; see (4)(b)2., (4)(c), (5)
Mfr response	30 days; no response = approved: no rule in statute. Challenge: The statute has no reasonableness or market-comparison challenge. If there is no agreement within 30 days of the dealer's written request, the dealer elects the greater of the two statutory methods. The rate is applied uniformly and can never be below the rat… Forum: DHSMV administrative proceeding (§ 320.699), or court action (§§ 320.….	§ 320.696(4)(b); see (5)
Penalties	Three times the pecuniary loss, plus costs and a reasonable attorney's fee; the burden shifts to the licensee after a prima facie showing (§ 320.697). Injunction by the department, or by a dealer in the department's name, without bond (§ 320.695). Administrative hearing on dealer request (§ 320.699). The license may be denied, suspende…	Fla. Stat. §§ 320.64, 320.695, 320.697, 320.699
Audit procedures	Audit climate score 64/100 (Very high restrictiveness; chargeback limits 46/75 + process and oversight 18/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: yes; frequency cap: No warranty, retail customer repair or other serv…; written reasons: yes; response period: 45 days; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission.	

Statute quotes

Claims *(§ 320.696(1)(c); see (2) and § 320.64(25)): "Compensation not paid to a motor vehicle dealer within 30 days after receipt of a claim is not timely."*
Chargebacks *(§ 320.64(25); see § 320.696(2)): "Audits of warranty, maintenance, and other service-related payments shall be performed by an applicant or licensee only during the 12-month period immediately following the date the claim was paid."*
Rate *(§ 320.696(4)(b)1.; see (4)(b)2., (4)(c), (5)): "dealer's hourly labor rate for retail customer repairs, determined by dividing the amount of the dealer's total labor sales for retail customer repairs by the number of total labor hours that generated those sales for the month preceding the request"*
Factory time *(§ 320.696(4)(b) (flush text)): "A licensee shall not eliminate flat-rate times from or establish an unreasonable flat-rate time in its warranty repair manual, warranty time guide, or any other similarly named document."*

Notes

Coverage depends on the issuer: § 320.696 reaches warranty, maintenance plan, extended warranty, CPO warranty and service contracts 'issued by the licensee or its common entity, unless issued by a common entity that is not a manufacturer', plus recalls, campaigns, authorized goodwill, directives and bulletins. The licensee must keep reasonable flat-rate times, including for new models. 'Retail customer repair' is not limited to the same model or model year. The statute sets no claim approval clock or deemed-approval rule; only payment within 30 days of receipt.

Source: official · http://www.leg.state.fl.us/statutes/index.cfm?App_mode=Display_Statute&URL=0300-0399/0320/Sections/0320.696.html · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.